

NSE BLOOMBERG TERMINAL

Master Trading Logic & Strategy Bible

Nikhil Dhawan | Intraday F&O System | Nifty 50 + Top 20 F&O Stocks

DATA SOURCES

OI Snapshots - CVD / Orderflow - Market Profile - Swing Signals

SIGNAL LAYERS

Layer 0: Day Type - Layer 1: Swing Bias - Layer 2: OI Levels - Layer 3: Orderflow

SIGNAL MODES

Normal (VIX < 22) - High VIX (VIX > 22) - F&O Stock Scanner

STRATEGIES

Bull/Bear Spreads - Credit Spreads - Iron Condor - Futures

For personal systematic intraday use only. Not financial advice. All trades carry risk of loss.

1. WHAT WE EXTRACT AND WHY

The system collects four independent data streams every 5 minutes during market hours (09:15-15:25). Each stream answers a different question about what the market is doing RIGHT NOW. No single stream is sufficient - alpha comes from all four agreeing simultaneously.

NIFTY 50 OPTIONS CHAIN (`kite_oi_live.py` - every 5 min)

- What we extract: Call OI, Put OI, strike-wise OI delta, PCR, Max Pain, top call/put walls
- Why it matters: Option writers (institutions) position at levels they want price to stay away from.
- PCR (Put-Call Ratio) = total put OI - total call OI. Tracks who is writing more - sellers drive price.
- Max Pain = strike where all options expire worthless for maximum buyers - acts like a magnet.
- Call Wall = strike with highest call OI - RESISTANCE. Sellers don't want Nifty above here.
- Put Wall = strike with highest put OI - SUPPORT. Sellers don't want Nifty below here.
- OI Delta = OI this snapshot minus OI last snapshot - tells if NEW money entered or OLD money left.

ORDERFLOW / CVD (`kite_orderflow.py` - every 30 sec)

- What we extract: Cumulative Volume Delta (CVD), Volume Profile (POC/VAH/VAL/VWAP), 3:1 imbalances
- Why it matters: CVD = sum of (buy volume - sell volume). Tells who is in control INSIDE the candle.
- CVD rising steadily = real buying pressure even if price looks sideways.
- CVD falling while price holds = distribution - sellers quietly offloading to buyers.
- 3:1 Buy Imbalance at support = institutions absorbing supply - high probability bounce.
- VWAP = fair value for the day. Above VWAP = bullish control. Below = bearish control.
- POC = price level with most volume = market consensus. Breakout above POC is significant.
- Data resets every day at 09:15 - it is purely today's session activity.

MARKET PROFILE (`market_profile.py` - every 5 min)

- What we extract: Day type, IB high/low, IB range, extensions, bias score
- Why it matters: Market Profile classifies what KIND of day it is - changes the game plan entirely.
- TREND UP / TREND DOWN: Strong directional momentum. Trade with the trend, avoid fades.
- NORMAL UP / NORMAL DOWN: Trending but with pullbacks. Best day for spread entries on pullbacks.
- RANGE / DOUBLE DISTRIBUTION: Market in balance. Fade extremes. Iron Condor preferred.
- NEUTRAL day: Market at full equilibrium - SKIP all directional trades.
- Initial Balance (IB) = first hour (09:15-10:15) high/low. Extension outside IB = trend day signal.
- IB Freeze after 10:15 - we lock in IB levels so they cannot be recalculated later.

SWING SIGNAL (`paper_trader.py` - runs evening, uses NSE bhavcopy)

- What we extract: LONG / SHORT / SKIP bias, signal value, VIX at signal, support/resistance, structure
- Why it matters: Sets the DIRECTIONAL BIAS for next day before market opens.
- Signal computed from: PCR extreme, max pain position, OI skew, historical pattern edge.
- Signal value: +0.20 to +1.0 = LONG. -0.20 to -1.0 = SHORT. Between = SKIP.
- VIX at signal: if India VIX > 22 at signal time, system switches to HIGH VIX mode.
- Structure field: which specific option spread to use (Bull Call Spread, Bear Put Spread, etc.).
- This is the PRIOR NIGHT setup - it does not change intraday.

F&O STOCK SCANNER (`stock_scanner.py` - every 5 min during market hours)

- What we extract: Score -3 to +3, direction, PCR, OI walls, VWAP, 30-min breakout, ATR
- Why it matters: Identifies the strongest opportunity across 20 liquid F&O stocks simultaneously.
- Scans: NIFTY, BANKNIFTY, RELIANCE, HDFCBANK, INFY, TCS, ICICIBANK, SBIN, AXISBANK,
- WIPRO, LT, HCLTECH, TATAMOTORS, KOTAKBANK, BAJFINANCE, MARUTI, BHARTIARTL,
- ADANIENT, SUNPHARMA, ONGC
- Score +2/+3 - Bullish: Sell Puts - Bull Call Spread - Long Futures
- Score -2/-3 - Bearish: Sell Calls - Bear Put Spread - Short Futures

2. SIGNAL LAYERS - 3+1 CONFLUENCE SYSTEM

A trade signal fires ONLY when all required layers agree. This eliminates noise and ensures we only act when multiple independent data sources confirm the same direction. Missing even one layer = WAIT. No compromise.

LAYER 0 - Market Profile Day-Type Filter (Pre-filter, blocks bad days)

- TREND UP or NORMAL UP - Allows LONG signals only. Adds +0.5 strength to LONG trades.
- TREND DOWN or NORMAL DOWN - Allows SHORT signals only. Adds +0.5 strength to SHORT trades.
- RANGE or DOUBLE DIST - Block directional signals. IRON CONDOR flag raised instead.
- NEUTRAL day - SKIP all signals for the entire day. Market at full equilibrium.
- UNKNOWN (script not run) - No adjustment. Other layers proceed normally.

LAYER 1 - Swing Bias (Direction setter - LONG / SHORT / SKIP)

- Normal Mode (VIX < 22): Reads open_trade.json written by paper_trader.py previous evening.
 - LONG if signal_val > +0.20 - SHORT if signal_val < -0.20 - else SKIP.
- HIGH VIX Mode (VIX > 22): Layer 1 REPLACED by OI Structure logic:
 - PCR > 1.20 AND max_pain > spot - LONG bias
 - PCR < 0.80 AND max_pain < spot - SHORT bias
 - PCR > 1.10 AND spot near support - LONG bias (moderate)
 - PCR < 0.90 AND spot near resistance - SHORT bias (moderate)

LAYER 2 - OI Level Proximity (Where to enter)

- Normal Mode: Spot must be within 75 points of the key OI level.
 - LONG: spot within 75pts of PUT WALL (highest put OI strike below spot)
 - SHORT: spot within 75pts of CALL WALL (highest call OI strike above spot)
- HIGH VIX Mode: Tighter - within 100 points (stricter, more volatile environment).
- Bonus: Fresh OI Build at the level adds +1 strength regardless of proximity.
 - Fresh Call Build above spot = new supply cap confirmed - adds to SHORT strength
 - Fresh Put Build below spot = new floor confirmed - adds to LONG strength

LAYER 3 - Orderflow Confirmation (Execution trigger)

- LONG triggers when ANY ONE of these is true:
 - CVD RISING: >60% of last 30 CVD ticks are positive (buyers consistently in control)
 - Buy Imbalance: 3:1 buy volume dominance detected within -100pts of support level
 - CVD Velocity: CVD gained +30,000 units in last 15 minutes (breakout buying surge)
 - Spot above POC adds +0.5 strength (buyers have established value above POC)
- SHORT triggers when ANY ONE of these is true:
 - CVD FALLING: >60% of last 30 CVD ticks are negative (sellers consistently in control)
 - Sell Imbalance: 3:1 sell volume dominance detected within -100pts of resistance level
 - CVD Velocity: CVD lost -30,000 units in last 15 minutes (distribution selling surge)
 - Spot below POC adds +0.5 strength (sellers have taken control below POC)

SIGNAL STRENGTH SCORING

Strength is a cumulative score. Higher = more conviction. Cooldown: 30 minutes between same-type signals.

Market Profile confirms direction	+0.5
Layer 1 satisfied (swing bias)	+1.0 implicit
Layer 2: Near OI level	+1.0
Layer 2: Fresh OI build at level	+1.0
Layer 3: CVD trend confirmed	+1.0
Layer 3: 3:1 imbalance at level	+1.0
Layer 3: Spot above/below POC	+0.5
MINIMUM to fire ENTER signal	L2 + at least 1-L3 must be satisfied

3. BULLISH SIGNALS - COMPLETE REFERENCE

A bullish signal requires multiple independent factors pointing UP simultaneously. The more factors present, the higher the conviction and the larger the position sizing.

- PCR > 1.30 (Strong)

[STRONG]

Put-Call Ratio above 1.30 means significantly more put OI than call OI. Large put writers are betting the market won't fall - they defend their strikes. This is the single most powerful institutional bullish indicator.

- PCR 1.10-1.30 (Moderate)

[MODERATE]

Moderate put-writing dominance. Market has bullish lean but conviction is lower. Combine with other signals before acting.

- Max Pain > Spot

[MODERATE]

Max pain is above the current spot price. Market has gravitational pull upward as we approach expiry. Option writers (who set max pain) will defend this level.

- Fresh Put Build below spot

[STRONG]

New put OI was added below spot in the last 5-minute OI snapshot. Institutions are writing new puts - they're selling insurance that market won't fall. This is a real-money vote of confidence in the current support level.

- Call OI Unwind above spot

[STRONG]

Call OI is DECREASING above spot. Sellers who wrote calls are buying them back - this means the resistance they were defending is being abandoned. Bullish breakout possible.

- CVD Rising (>60% of last 30 ticks positive)**[STRONG]**

Cumulative Volume Delta is trending up. Buyers are stepping in consistently - not just one big order but sustained buying pressure across many transactions.

- Buy Imbalance 3:1 near Support**[VERY STRONG]**

Orderflow footprint shows 3- more buy volume than sell volume at the support zone. This means sellers are being absorbed by strong buyers - classic institutional accumulation.

- CVD Velocity +30K in 15 minutes**[STRONG]**

CVD jumped +30,000 units in the last 15 minutes even without a 3:1 imbalance. Distributed buying across many price levels - breakout or acceleration signal.

- Spot above VWAP**[MODERATE]**

Price is above the volume-weighted average price. Buyers have been in control throughout the session. Institutions benchmarked to VWAP will buy dips.

- Spot above POC (Point of Control)**[MODERATE]**

Price is above the highest-volume price level of the day. This means the market's consensus has shifted - more business done above this price. Bullish.

4. BEARISH SIGNALS - COMPLETE REFERENCE

Bearish signals follow the mirror logic of bullish signals. Option sellers on the call side and falling CVD confirm institutional distribution.

- **PCR < 0.70 (Strong)** [STRONG]
Put-Call Ratio below 0.70 means significantly more call OI than put OI. Large call writers are betting the market won't rally - they cap the upside. This is the strongest institutional bearish indicator.
- **PCR 0.70-0.90 (Moderate)** [MODERATE]
Moderate call-writing dominance. Market has bearish lean but needs confirmation.
- **Max Pain < Spot** [MODERATE]
Max pain is below the current spot price. Market has gravitational pull downward as we approach expiry. Institutions defend their short positions at lower levels.
- **Fresh Call Build above spot** [STRONG]
New call OI was added above spot in the last OI snapshot. Institutions are writing new calls - fresh supply cap above current price. This suppresses rallies and is a strong signal that resistance is hardening.
- **Put OI Unwind below spot** [STRONG]
Put OI is DECREASING below spot. Sellers who wrote puts are buying them back - they're removing the support they were providing. Breakdown risk increases.
- **CVD Falling (>60% of last 30 ticks negative)** [STRONG]
Cumulative Volume Delta is trending down. Sellers are consistently stepping in - distribution is happening even if price appears stable.
- **Sell Imbalance 3:1 near Resistance** [VERY STRONG]
Orderflow footprint shows 3- more sell volume than buy volume at resistance. Buyers at resistance are being overwhelmed - classic institutional distribution.
- **CVD Velocity -30K in 15 minutes** [STRONG]
CVD dropped -30,000 units in 15 minutes. Distributed selling across many levels - breakdown acceleration or trend initiation signal.
- **Spot below VWAP** [MODERATE]
Price is below VWAP. Sellers have been in control throughout the session. Any rally to VWAP is a potential shorting opportunity.
- **Spot below POC** [MODERATE]
Price is below the highest-volume level. Market consensus has shifted bearish. Sellers have taken control below POC.
- **IB Breakdown (price below IB Low)** [VERY STRONG]
Price broke below the Initial Balance low. Strong trend day confirmation. Measured move target = IB range subtracted from IB low.
- **Market Profile: TREND DOWN or NORMAL DOWN day** [CONFIRMING]
Day type classification confirms bearish structure. All rallies are selling opportunities.
- **Swing Signal SHORT (signal_val < -0.20)** [DIRECTIONAL BIAS]
Prior-evening quant model generated a negative signal based on bhavcopy data.
- **F&O Scanner Score -2 or -3** [STOCK-LEVEL]
Stock scanner: PCR low + call wall resistance + price below VWAP + recent breakdown.

5. INTRADAY SIGNALS - HOW TO ACT ON THEM

ENTER_LONG (Normal Mode)

- Swing bias is LONG from prior evening.
- Market Profile confirms: TREND UP or NORMAL UP day.
- Spot is within 75 points of the top Put Wall (highest put OI below spot).
- At least one of: CVD Rising, Buy Imbalance near support, Fresh Put Build.
- Action: Enter BULL CALL SPREAD or BULL PUT SPREAD (credit) immediately.
- SL: Close the spread if spot breaks 50pts below the support level.
- Target: Open of next OI level above / max pain strike.
- Hold time: Exit before 3:00 PM same day for intraday. Or next morning (swing mode).

ENTER_SHORT (Normal Mode)

- Swing bias is SHORT from prior evening.
- Market Profile confirms: TREND DOWN or NORMAL DOWN day.
- Spot is within 75 points of the top Call Wall (highest call OI above spot).
- At least one of: CVD Falling, Sell Imbalance near resistance, Fresh Call Build.
- Action: Enter BEAR PUT SPREAD or BEAR CALL SPREAD (credit) immediately.
- SL: Close the spread if spot breaks 50pts above the resistance level.
- Target: Open of next OI level below / max pain strike.
- Hold time: Exit before 3:00 PM same day for intraday. Or next morning (swing mode).

ENTER_LONG (HIGH VIX Mode)

- VIX > 22 OR swing bias is SKIP - system auto-switches to HIGH VIX mode.
- PCR > 1.20 AND max pain > spot (or PCR > 1.10 near support within 150pts).
- CVD rising or buy imbalance confirms the OI signal.
- Action: BULL PUT SPREAD (CREDIT SPREAD) - sell the put wall strike, buy 100pts lower.
- Receive credit upfront. Max profit if market stays above sold strike at expiry.
- SL: Buy back the spread if debit > 2- credit received. Hard exit 3:15 PM same day.
- Do NOT hold overnight in HIGH VIX mode - premium can gap against you.

ENTER_SHORT (HIGH VIX Mode)

- VIX > 22 - PCR < 0.80 AND max pain < spot (or PCR < 0.90 near resistance within 150pts).
- CVD falling or sell imbalance confirms the OI signal.
- Action: BEAR CALL SPREAD (CREDIT SPREAD) - sell the call wall strike, buy 100pts higher.
- Receive credit upfront. Max profit if market stays below sold strike at expiry.
- SL: Buy back the spread if debit > 2- credit received. Hard exit 3:15 PM same day.
- Premium decay is your friend in HIGH VIX - time is on your side once entered.

IRON CONDOR (Range / Double Distribution day)

- Market Profile = RANGE or DOUBLE DISTRIBUTION day (price oscillating within IB).
- No directional signal required - structure itself is the signal.
- PCR between 0.90 and 1.10 (neither side dominant).
- Action: Sell OTM Call above resistance + Sell OTM Put below support simultaneously.
- Buy wings 100-150pts further out to cap maximum loss.
- SL: Close if Nifty breaks IB high or IB low by more than 30pts.
- Target: Collect 50-60% of premium received. Time decay is the edge.
- Best days: Low-volatility RANGE days after a gap open that fills.

WAIT / SKIP (No signal)

- Swing bias = SKIP (signal_val between -0.20 and +0.20).
- Market Profile = NEUTRAL day.

- Layers 2 and 3 disagree (e.g., CVD rising but fresh call build at resistance).
- VIX > 22 but OI structure is ambiguous (PCR between 0.90 and 1.20).
- Within 30 minutes of same signal cooldown window.
- Action: DO NOTHING. The edge comes from knowing when NOT to trade.
- Use the time to update notes, review OI changes, plan for next scan cycle.

6. SWING TRADE SIGNALS - OVERNIGHT / MULTI-DAY HOLD

Swing signals are generated each evening using the NSE bhavcopy (post-market EOD data). The signal is valid for the NEXT TRADING DAY. It is not recalculated intraday. Swing trades are held overnight and closed next day or within 2-3 days.

Signal Computation (paper_trader.py)

- 1. Download NSE F&O bhavcopy for most recent trading day.
- 2. Extract Nifty option chain: call OI, put OI, call LTP, put LTP per strike.
- 3. Compute PCR = total put OI - total call OI for the nearest weekly expiry.
- 4. Compute Max Pain = strike minimising total intrinsic value payout to all option buyers.
- 5. Compute skew: difference between ATM+1 call IV and ATM-1 put IV (proxy from LTP ratio).
- 6. Read India VIX from NSE/Yahoo Finance.
- 7. Composite signal_val = weighted combination of PCR score + max pain position + skew signal.
- 8. If signal_val > +0.20 - LONG. signal_val < -0.20 - SHORT. Else - SKIP.
- 9. Determine trade structure based on signal strength and VIX level.
- 10. Save to data/paper_trades/open_trade.json - read by intraday engine next morning.

Swing Bullish Triggers

- PCR > 1.25 at end of day - institutions bought puts for hedging, underlying bias is up
- Max pain significantly ABOVE closing price - upward gravity toward expiry
- Call writers at OTM strikes reduced OI (shorts covering) - overhead resistance clearing
- India VIX declining (< 16) - options cheap, market confident, supports directional bets
- Market closed above key put wall (highest put OI strike) - floor confirmed

Swing Bearish Triggers

- PCR < 0.75 at end of day - call writers dominating, heavy supply overhead
- Max pain significantly BELOW closing price - downward gravity toward expiry
- Put writers at OTM strikes reduced OI (shorts covering) - support collapsing
- India VIX spiking (> 20) - fear elevated, credit spread strategies preferred
- Market closed below key call wall (highest call OI strike) - cap confirmed

Swing Trade Management

- Entry: At open (09:15-09:30) on signal day OR at first intraday confluence (Layer 2 + 3).
- SL: If spot crosses the PUT WALL (LONG) or CALL WALL (SHORT) by > 50pts - exit immediately.
- Target 1 (partial): Max pain strike. Collect 50% of position here.
- Target 2 (full): Measured move = IB range projected from IB breakout.
- Hold rule: Never hold through an earnings announcement or major economic event.
- Override rule: If Market Profile turns NEUTRAL day next morning - close the position by 10:00.
- Max hold: 2 trading days. Option time decay and gap risk increase exponentially on day 3.

7. COMPLETE STRATEGY PLAYBOOK

Each strategy is mapped to a specific market condition and signal combination. Never use a directional strategy on a RANGE or NEUTRAL day. Never use an Iron Condor on a TREND day.

BULL CALL SPREAD (Debit) [BULLISH]

Market Condition

TREND UP or NORMAL UP day - Signal LONG - VIX < 22

Stop Loss

Close spread if spot breaks 50pts below put wall. Max loss = net debit paid (~37% of spread width).

Structure

Buy 23000 CE, Sell 23300 CE (300pt spread). Cost - -111/lot - 75 = -8,325.

- Risk Note: Capped loss = debit. But premium decays if market stalls. Best entered early in session (before 11 AM).

Entry Trigger

Buy ATM or 1 strike OTM call. Sell 200-300pts higher call same expiry. Enter when spot touches put wall with CVD rising.

Target / Exit

Sell spread when it gains 50-70% of max profit. Target = resistance level or max pain.

When to Use

Strong trending day with LONG swing signal + CVD rising + spot > VWAP + above IB mid

BEAR PUT SPREAD (Debit) [BEARISH]

Market Condition

TREND DOWN or NORMAL DOWN day - Signal SHORT - VIX < 22

Stop Loss

Close spread if spot breaks 50pts above call wall. Max loss = net debit paid (~37% of spread width).

Structure

Buy 23000 PE, Sell 22700 PE (300pt spread). Cost - -111/lot - 75 = -8,325.

- Risk Note: Capped loss = debit. Best when VIX is moderate (14-20). Avoid in very low VIX.

Entry Trigger

Buy ATM or 1 strike OTM put. Sell 200-300pts lower put same expiry. Enter when spot touches call wall with CVD falling.

Target / Exit

Sell spread when it gains 50-70% of max profit. Target = support level or max pain.

When to Use

Bearish trending day with SHORT swing signal + CVD falling + spot < VWAP + below IB mid

BULL PUT SPREAD (Credit) - HIGH VIX LONG [BULLISH]

Market Condition

VIX > 22 - PCR > 1.20 - Max pain > spot - Same-day expiry only

Stop Loss

Buy back spread if spot breaks put wall -50pts. Max loss = spread width minus credit received.

Structure

Sell 23000 PE, Buy 22900 PE. Receive - -32/lot - 75 = -2,400 credit.

- Risk Note: In HIGH VIX, a sudden crash can cause 3-5- the expected daily move. Use WEEKLY expiry, not monthly. Hard stop mandatory.

Entry Trigger

Sell OTM put at or just below put wall. Buy 100pts lower put as hedge. Enter as close to put wall as possible.

Target / Exit

Let premium decay. Close at 3:15 PM or if 60% of credit is retained.

When to Use

HIGH VIX day. PCR strong bullish. Don't want to buy expensive premium. Theta decay works for you. Same-day or weekly expiry.

BEAR CALL SPREAD (Credit) - HIGH VIX SHORT [BEARISH]

Market Condition

VIX > 22 - PCR < 0.80 - Max pain < spot - Same-day expiry only

Stop Loss

Buy back spread if spot breaks call wall +50pts. Max loss = spread width minus credit received.

Structure

Sell 23300 CE, Buy 23400 CE. Receive - -32/lot - 75 = -2,400 credit.

- Risk Note: Gap-up openings can crush you immediately. Always hedge with the long leg. Never naked in HIGH VIX.

Entry Trigger

Sell OTM call at or just above call wall. Buy 100pts higher call as hedge. Enter as close to call wall as possible.

Target / Exit

Let premium decay. Close at 3:15 PM or if 60% of credit is retained.

When to Use

HIGH VIX day. PCR strongly bearish. Fresh call build overhead confirmed.

IRON CONDOR (Neutral Range Strategy) [NEUTRAL]

Market Condition

Entry Trigger

Market Profile = RANGE or DOUBLE DIST - PCR 0.90-1.10 - Low VIX (< 16 ideal)

Stop Loss

Close entire condor if Nifty breaks IB high or IB low by 30pts. Or if any leg is in-the-money by more than 50pts.

Structure

Sell 23300 CE + Buy 23450 CE + Sell 22700 PE + Buy 22550 PE. Net credit - -40-50/lot - 75 = -3,000-3,750.

- Risk Note: If market trends strongly in either direction, loses on one spread. Adjust by closing the threatened side if budget allows.

Sell OTM call at resistance + Sell OTM put at support simultaneously. Buy wings 100-150pts further each side.

Target / Exit

Collect 50-60% of total credit received. Time decay is the profit engine.

When to Use

RANGE day after a gap-open that fills. Low VIX. Both call and put writers active. Nifty oscillating between clear support and resistance.

LONG NIFTY FUTURES [BULLISH]

Market Condition

Strong TREND UP day - Score +3 - IB breakout confirmed - CVD surge

Stop Loss

Below IB high (breakout point) + 30pts buffer.

Structure

1 lot = 75 units - (price - margin). Margin ~1.2L per lot. High leverage.

- Risk Note: Unlimited loss potential without SL. Requires strict discipline. Use ONLY when score is maximum and all layers confirmed.

Entry Trigger

Enter futures at IB breakout confirmation (close above IB high with volume).

Target / Exit

IB range projected above IB high. Trail SL by 50pts once 1:1 R:R achieved.

When to Use

Strong trend day confirmed by multiple signals. Not suitable for range days. Best when OI structures (put wall, PCR, CVD) all align perfectly.

SHORT NIFTY FUTURES [BEARISH]

Market Condition

Strong TREND DOWN day - Score -3 - IB breakdown confirmed - CVD crash

Stop Loss

Above IB low (breakdown point) + 30pts buffer.

Structure

1 lot = 75 units - (price - margin). Same margin as long. High leverage.

- Risk Note: Unlimited loss. Market can gap up overnight. Hold only if swing signal supports. Prefer credit spread over naked futures in HIGH VIX.

Entry Trigger

Enter futures at IB breakdown confirmation (close below IB low with volume).

Target / Exit

IB range projected below IB low. Trail SL by 50pts once 1:1 R:R achieved.

When to Use

Trend DOWN day. PCR < 0.80. CVD falling. Fresh call builds. Spot below VWAP + POC.

F&O STOCK - SELL PUT (Bullish Stock) [BULLISH]

Market Condition

Stock scanner score +2 or +3 - PCR bullish - Price above VWAP - Put wall nearby

Stop Loss

Buy back if put premium doubles (2- credit received).

Structure

Example: RELIANCE 2800 PE sell for -25 - 250 lot = -6,250 credit.

- Risk Note: Naked put requires large margin. Stock can gap down on results/news. Always use in liquid stocks (Reliance, HDFC Bank, etc.).

Entry Trigger

Sell 1-2 strikes OTM weekly put on the stock. Enter when score first appears.

Target / Exit

Let expire worthless (weekly) or buy back at 80% profit.

When to Use

Stock scanner alert triggers at +2 or +3. Stock near strong put wall with fresh OI build.

F&O STOCK - SELL CALL (Bearish Stock) [BEARISH]

Market Condition

Stock scanner score -2 or -3 - PCR bearish - Price below VWAP - Call wall overhead

Stop Loss

Buy back if call premium doubles (2- credit received).

Structure

Example: RELIANCE 2900 CE sell for -20 - 250 lot = -5,000 credit.

- Risk Note: Naked call: theoretically unlimited risk. Best avoided naked - use spread instead.

Entry Trigger

Sell 1-2 strikes OTM weekly call on the stock. Enter when score first appears.

Target / Exit

Let expire worthless (weekly) or buy back at 80% profit.

When to Use

Stock scanner alert at -2 or -3. Stock near strong call wall with fresh call build.

8. DAILY WORKFLOW - STEP BY STEP

EVENING (after 6:00 PM)

- Run: `python3 kite_login.py` (refresh Kite token)
- Run: `python3 paper_trader.py` (generates next-day swing signal + structure)
- Read `open_trade.json` - note the bias (LONG/SHORT/SKIP), `signal_val`, VIX, support, resistance
- Check: If VIX > 22, prepare for HIGH VIX mode (credit spreads only, same-day exit)
- Check: Structure field tells you exactly which spread to place next morning
- Optional: Review bhavcopy data - top call and put strikes by OI for context

MORNING (09:00-09:15)

- Check all scripts are running: `market_profile.py`, `kite_oi_live.py`, `kite_orderflow.py`, `intraday_signal.py`
- Open NSE Bloomberg Dashboard - System tab - verify all health indicators GREEN
- Note overnight global cues (SGX Nifty, US futures, crude oil)
- Read Dashboard - Signal tab: confirm today's swing bias and trade structure
- Check OI page: verify call wall and put wall levels match `paper_trader` levels
- Note IB range if it's being built (09:15-10:15 first hour)

FIRST HOUR (09:15-10:15) - OBSERVATION ONLY

- DO NOT trade the first 15 minutes unless the setup is extremely clear
- Watch: Is Nifty respecting the put wall (support) or call wall (resistance)?
- Watch: CVD direction - is it rising or falling from the open?
- IB building: note IB high and IB low as they form. These are the day's key levels
- Signal dashboard: wait for `intraday_signal.py` to fire `ENTER_LONG` or `ENTER_SHORT`
- If Market Profile shows NEUTRAL by 10:00 - SKIP the day entirely

TRADE WINDOW (10:15-13:00) - PRIMARY ENTRY ZONE

- Enter on the FIRST confluence of Layer 2 + Layer 3 after 10:15
- IB breakout above IB high with CVD surge - LONG entry (if swing is LONG)
- IB breakdown below IB low with CVD selling - SHORT entry (if swing is SHORT)
- Pullback to VWAP with buy imbalance on LOW VIX day - excellent LONG setup
- Size: 1-2 lots for spreads. 1 lot for futures. Never oversize on intraday.
- Enter the spread structure shown in `open_trade.json` - don't improvise

AFTERNOON (13:00-15:00) - MANAGEMENT

- If trade is profitable: trail SL. Consider closing 50% at Target 1 (max pain).
- If CVD reverses direction - take partial profit or move SL to entry
- If OI data shows put/call wall shifting significantly - reassess
- 15-min chart (Profile page) gives context: is price making higher lows (uptrend)?
- HIGH VIX mode: plan to exit before 3:15 regardless of profit/loss
- Normal mode: allow swing carry if direction still valid and spread still profitable

CLOSE (15:00-15:30) - EXIT PROTOCOL

- All intraday trades MUST be closed by 15:20 to avoid execution risk at expiry
- HIGH VIX credit spreads: close by 15:15 at market price
- Swing carry: If carrying to next day, verify `paper_trader` signal still valid
- Log the trade: symbol, entry, exit, P&L, which signals triggered, what worked/didn't
- Run: `python3 paper_trader.py close` (marks open trade as closed)
- Evening: Run `paper_trader.py` again for tomorrow's signal

9. RISK MANAGEMENT - NON-NEGOTIABLE RULES

These rules are not guidelines - they are hard stops. Breaking any of these rules has historically caused the largest single-day losses in systematic trading. Follow them exactly.

RULE 1: MAXIMUM DAILY LOSS = 1.5% OF CAPITAL

If P&L hits -1.5% of your trading capital at any point in the day, stop ALL trading. Close all open positions at market. Do not re-enter. The market will be open tomorrow.

RULE 2: NEVER TRADE WITHOUT A DEFINED SL

Before entering any position, write down the exact SL price and spread price. The SL must be in your head BEFORE execution. If you don't know your SL, don't trade.

RULE 3: NEVER OVERRIDE A SKIP SIGNAL

If the swing signal is SKIP, the Market Profile is NEUTRAL, or VIX structure is ambiguous - do NOT find creative reasons to trade anyway. The edge disappears on these days.

RULE 4: CREDIT SPREADS IN HIGH VIX - NO NAKED OPTIONS

When VIX > 22, always buy the protective leg of the spread. Naked options in high VIX can produce losses that exceed the entire account on a single gap move. Always hedge.

RULE 5: NO TRADES IN FIRST 10 MINUTES

09:15-09:25 is institutional order flow absorption. Prices are erratic. Wait for CVD to show a clear directional bias before committing capital.

RULE 6: NO REVENGE TRADING

If SL is hit, the trade is over. Close the position and wait for the next clean setup. Doubling down after a loss while emotional is the fastest way to blow an account.

RULE 7: POSITION SIZE = MAX 20% OF CAPITAL PER TRADE

No single trade should risk more than 20% of trading capital on margin requirement. For spreads: size 1-2 lots per signal. For futures: 1 lot only.

RULE 8: EXIT INTRADAY BEFORE 3:20 PM

Options can experience extreme price swings in the last 10 minutes near expiry. Liquidity dries up. Exit all intraday positions before 3:20 PM without exception.

RULE 9: TRUST THE SIGNAL, NOT YOUR OPINION

If the system says WAIT but you 'feel' it should go up - wait. The system is based on data. Your opinion in the moment is based on emotion. The system wins over time. Individual opinions don't.

RULE 10: NO TRADING AROUND MAJOR EVENTS

RBI policy, Union Budget, US CPI, FOMC meetings, major earnings (Reliance, TCS, HDFC Bank). The option chain becomes meaningless in these windows - implied volatility spikes randomly.

10. QUICK REFERENCE - SIGNAL CHEAT SHEET

PCR Quick Read

PCR > 1.30	STRONGLY BULLISH	Sell puts - Bull call spread
PCR 1.10-1.30	MILDLY BULLISH	Monitor for long entry
PCR 0.90-1.10	NEUTRAL	Iron Condor - Avoid directional
PCR 0.70-0.90	MILDLY BEARISH	Monitor for short entry
PCR < 0.70	STRONGLY BEARISH	Sell calls - Bear put spread

Day Type Quick Read

TREND UP	All LONG signals. IB breakout. Add to winners.
TREND DOWN	All SHORT signals. IB breakdown. Add to losers.
NORMAL UP	Pullback entries LONG. Fade bear moves to IB low.
NORMAL DOWN	Pullback entries SHORT. Fade bull moves to IB high.
RANGE	Iron Condor. Fade IB extremes. No directional trades.
DOUBLE DIST	Iron Condor. Multiple POCs. Range-bound with two value areas.
NEUTRAL	SKIP ENTIRE DAY. No signals. Protect capital.

CVD Quick Read

RISING (>60%)	Buyers in control - Support LONG entries - Avoid SHORT
FALLING (>60%)	Sellers in control - Support SHORT entries - Avoid LONG
NEUTRAL	No edge from CVD - Need stronger L2 signal to enter
+30K in 15min	Buy acceleration - Breakout mode - Upgrade to STRONG LONG
-30K in 15min	Sell acceleration - Breakdown mode - Upgrade to STRONG SHORT

OI Build/Unwind Quick Read

CALL BUILD above spot (-+)	Fresh resistance - Bearish signal
CALL UNWIND above spot (--)	Resistance clearing - Bullish signal
PUT BUILD below spot (-+)	Fresh support - Bullish signal
PUT UNWIND below spot (--)	Support removing - Bearish signal
RESIST signal (Call -+ & Put --)	Strong cap forming above - sell into rallies
SUPPORT signal (Put -+ & Call --)	Strong floor forming below - buy into dips

Scanner Score Quick Read

+3	Maximum bullish. All signals aligned. High confidence.	Sell puts or buy call spread immediately
+2	Alert level bullish. Multiple signals. Good risk/reward.	Enter position on next pullback to VWAP
+1	Mild bullish lean. Watch but don't commit.	Wait for score to improve
0	Neutral. No edge.	Skip this stock
-1	Mild bearish lean. Watch but don't commit.	Wait for score to worsen
-2	Alert level bearish.	Enter short position or sell calls
-3	Maximum bearish. All signals aligned.	Sell calls or buy put spread immediately